

4. COD Refund Timelines

Cash on Delivery (COD) orders require a separate refund workflow because the original payment was collected in cash or through a delivery-agent collection process rather than through an online payment authorization.

4.1 Standard COD Refund Timeline

For an approved COD return, Nimbus Commerce normally initiates the refund within **3 business days after return inspection is completed**. The customer may choose an eligible bank transfer destination or Nimbus Commerce store credit, subject to the options displayed for the order.

After Nimbus Commerce initiates a bank refund, the customer's bank may require an additional **2–5 business days** to reflect the amount. Nimbus Commerce's support agent should distinguish between the internal refund-initiation timestamp and the bank-posting timestamp.

4.2 COD Refund Exceptions

If the customer has not provided valid bank details, the refund remains pending until valid details are received. A refund can also be paused if the order is under a fraud review, the returned item does not match the order, or required return components are missing.

If a COD refund has been marked “processed” but has not appeared after the normal banking period, support should first verify the transaction reference and destination details before escalating to the payments team.

4.3 COD Partial Refunds

For orders containing multiple products, an approved return of only some products produces a partial refund. Discounts, bundle pricing, shipping fees, loyalty-point usage, and promotional credits may affect the refundable amount.

Example: if a customer buys three items under a bundle discount and returns one item, the refund is not necessarily the standalone list price. The refund engine recalculates the allocation of discounts according to the order's promotion rules.